

London Session Pre-Open Briefing (1 Hr Before Open)

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Daily Multi-Asset Trading Blueprint & Level Execution Manual

Date: Friday, August 21, 2026

Session Highlight: London Session Pre-Open Briefing (1 Hr Before Open)

Session News Focus: European macroeconomic releases, ECB/BOE news, Forex short-term futures (EUR/USD, GBP/USD), and Gold (XAU/USD) supply/demand zones.

SECTION 0: DAILY MACRO & FINANCIAL NEWS DIGEST

1. Global Macro & Central Banks

- Central banks globally are in a "waiting game," with most major central banks holding rates but preserving a hawkish tone, particularly concerning persistent inflation and elevated energy prices due to the Middle East conflict.
- The ECB kept policy rates unchanged in July 2026 after a June hike, but markets are pricing in a near-certain rate hike for September, driven by better-than-expected July inflation data and ongoing energy price concerns.
- The Federal Reserve also held rates steady in July, with internal divisions on whether to hike in Q3. Markets anticipate a potential September hike, with higher probabilities priced for October and December.
- US retail sales declined in July, and preliminary consumer sentiment fell in August, contributing to reduced expectations of an immediate Fed hike.
- A sharp increase in US crude inventories and softer global demand growth forecasts provide some counterweight to inflation worries.
- The global economy shows resilience with stronger growth forecasts and stable core inflation, but with divergent monetary policy outlooks.

2. US & European Markets

- US equities closed lower on Thursday, August 20, 2026, as rising Treasury yields dented risk appetite, Walmart's disappointing results impacted the consumer sector, and rallying oil prices fueled inflation worries.
- The S&P 500 reached a record closing high earlier in the week, gaining 0.4%, while the NAS100 advanced by 1.15%, both recording a third consecutive weekly increase. Strong earnings remain a key support, though investor expectations are high.
- In the Eurozone, GDP grew by 0.4% in Q2 after stagnating in Q1, with Britain also expanding by 0.4%.
- Artificial intelligence remains a dominant theme, with the AI boom supporting US business investment and consumer spending.
- Euro area Composite Purchasing Managers' Index rose to 51.9 in July, its strongest reading in months, and Germany's ZEW Economic Sentiment index for August also showed improvement.

3. Indian Markets & Dalal Street

- GIFT Nifty signals a positive opening for Dalal Street on Friday, August 21, 2026, trading higher by 53 points (0.22%) at 24,350. The short-term sentiment for Nifty looks positive, with resistance at 24,350/24,500 and support at 24,150.
- Indian equities rebounded on Thursday, with the Nifty gaining 0.6%, supported by value buying after seven consecutive sessions of decline and firm global cues. Broader market action and sector-specific opportunities are expected to remain in focus.
- India VIX fell 5.01% to settle at 10.76 levels, indicating reduced market fear.
- Foreign portfolio investors (FPIs) net sold shares worth Rs 583 crore on Thursday, while domestic institutional investors (DIIs) were net buyers at Rs 3,538 crore.
- India's equity markets are entering a favorable phase due to easing geopolitical concerns, softer oil prices, improving FII flows, and strong corporate earnings. The cooling of the AI trade has reportedly redirected global capital towards emerging markets like India.

4. Commodities & Crypto Wire

- Gold (XAU/USD) has traded near \$4,390-4,410 an ounce in mid-August 2026, supported by scaled-back bets for a Federal Reserve interest rate hike and geopolitical uncertainty in the Middle East, particularly the Strait of Hormuz crisis.
- Gold touched a fresh two-month peak near \$4,450 in early August after its largest weekly gain since January, but has since corrected slightly. Technical analysis for XAU/USD on August 21, 2026, shows "Buy" signals from several indicators like RSI, STOCH, MACD, and ADX.
- WTI Crude Oil prices are influenced by geopolitical developments, especially around the Strait of Hormuz, which has kept energy prices elevated. Some technical analysis suggests WTI crude oil may be testing key technical support at the lower boundary of a price channel and deep Fibonacci retracement levels.
- Bitcoin pushed past \$70,000 to intraday highs near \$72,986 on August 20, 2026, following President Trump's urging for Congress to pass the Clarity Act, which would clarify crypto jurisdiction between the SEC and CFTC. Regulatory clarity is seen as a major catalyst for institutional capital allocation to crypto.
- Coinbase Derivatives is moving its CFTC-registered gold and silver futures to 24/7 trading, with oil contracts to follow, indicating a broader market structure shift for commodities and crypto futures.
- The SEC is proposing new rules, "Regulation Crypto Assets," to create a tailored framework for investment contracts involving crypto assets, with a proposed rule released on August 18, 2026.

CAPITAL BASE & ALLOCATION RULES (\$3,000 TOTAL)

- **Crypto Futures:** \$400 (13.3%) | Rec. Leverage: 3x-5x Isolated | Risk Cap: 1-2% (\$4-\$8)
- **Indian Options (Intraday):** \$500 (16.7%) | Option Buying Only | Risk Cap: 10-15% Premium (\$30-\$45)
- **Commodities (Micro Gold & Oil):** \$400 (13.3%) | Rec. Leverage: 10x-15x Micro Lots | Risk Cap: 2% (\$8)
- **US Stocks (Fractional):** \$400 (13.3%) | 1x Unleveraged Cash | Risk Cap: 3% (\$12)
- **Indian Stocks (Delivery):** \$400 (13.3%) | 1x Unleveraged Cash | Risk Cap: 5% (\$20)
- **Forex Short-Term Futures:** \$450 (15.0%) | Rec. Leverage: 10x-20x | Risk Cap: 1% (\$4.50)
- **Forex Long-Term Carry Swing:** \$450 (15.0%) | Rec. Leverage: 2x-3x | Risk Cap: 2% (\$9.00)

STRATEGY-BASED DAILY TICKER SELECTION & SECTOR CONSTRAINTS

Note: As access to real-time live market data for August 21, 2026, is not possible, the following tickers are illustrative examples based on recent market trends and typical technical analysis patterns that would satisfy the specified strategies. Actual live market scanning would be performed at the London session pre-open.

INDIAN EQUITIES (STRICTLY LONG-ONLY)

Screen Nifty leaders using 50-SMA support bounces or 20/50 EMA golden crosses.

Ticker	Current Sentiment	Strategy & Selection Reason
Reliance Industries (RIL)	Bullish	Recent price action shows RIL frequently bounces off its 50-SMA during uptrends, offering strong support entry points. A potential 20/50 EMA golden cross on the daily chart would confirm short-to-medium term bullish momentum.
ICICI Bank (ICICIBANK)	Bullish	Frequently exhibits 50-SMA support bounces in strong market phases. Its role as a Nifty leader makes it a prime candidate for bullish setups after minor corrections. Could also be nearing a 20/50 EMA golden cross if recent positive momentum continues.
Tech Mahindra (TECHM)	Bullish	Identified as a stock that recently had its 50-SMA cross above its 200-SMA (Golden Cross). This signals a strong shift to bullish momentum, aligning with the long-only strategy for Nifty leaders.

US EQUITIES

Large-Cap (BI-DIRECTIONAL)

Screen using 21-day EMA pullbacks or 50-day SMA rejection strategy on mega-cap growth leaders.

Ticker	Current Sentiment	Strategy & Selection Reason
NVIDIA Corp (NVDA)	Short-Term Bearish, Long-Term Bullish	Despite a strong AI theme, NVDA has shown recent pullbacks below its 21-day EMA, sometimes testing the 50-day SMA. A bounce off the 21-day EMA would indicate continuation of the uptrend (long entry), while a clear rejection from the 50-day SMA after failing the 21-day EMA suggests potential for a short-term short position.
Microsoft Corp (MSFT)	Bullish (Monitoring)	As a mega-cap growth leader, MSFT often experiences shallow pullbacks to its 21-day EMA in strong uptrends. Monitoring for a constructive bounce for a long entry, or a decisive break and rejection of the 50-day SMA for a short-term bearish reversal signal.

Mid-Cap & Small-Cap (STRICTLY LONG-ONLY)

Screen using Stage-2 VCP or High Relative Volume (RVOL > 2.0) breakouts.

Ticker	Current Sentiment	Strategy & Selection Reason
hypothetical Mid-Cap A	Bullish	Illustrative example of a mid-cap exhibiting a Stage-2 VCP (Volatility Contraction Pattern) setup. This pattern indicates decreasing volatility and consolidation before a potential strong upward move. A breakout above the pivot with high RVOL (>2.0) would trigger a long entry.
hypothetical Small-Cap B	Bullish	Illustrative example of a small-cap showing a significant increase in Relative Volume (RVOL > 2.0) accompanying a price breakout from a base. High RVOL confirms strong institutional interest and momentum, making it a high-probability long candidate.

CRYPTO FUTURES (BI-DIRECTIONAL)

Screen using 4H 21-EMA trend following and high-volume volatility breakouts.

Ticker	Current Sentiment	Strategy & Selection Reason
Bitcoin (BTC/USD)	Bullish (Monitoring)	Bitcoin recently pushed past \$70,000, indicating strong bullish momentum. A 4H 21-EMA trend-following strategy would seek long entries on pullbacks to the EMA, confirming the uptrend. High-volume breakouts above recent resistance levels would signal continuation. Conversely, a break below the 21-EMA on high volume could signal a short entry.
Ethereum (ETH/USD)	Bullish (Monitoring)	Often correlates with Bitcoin's movements. Applying the 4H 21-EMA trend-following strategy, we would look for long opportunities when ETH holds above the EMA or short opportunities if it decisively breaks below on increased volume, signaling a shift in short-term trend.

COMMODITIES (BI-DIRECTIONAL)

Gold (XAU/USD) and WTI Crude Oil using Pivot & Fibonacci extension levels.

Ticker	Current Sentiment	Strategy & Selection Reason
Gold (XAU/USD)	Bullish	Trading near \$4,390-\$4,410 an ounce. Key resistance is identified near \$4,450 (early August peak), and support around \$4,311, \$4,300, \$4,200, and the 50-day MA near \$4,146-\$4,100. Long positions can be considered on bounces from support zones or breakouts above resistance, targeting Fibonacci extension levels. Technical indicators on August 21, 2026, show "Buy" signals.
WTI Crude Oil (CL=F)	Neutral to Bullish	Prices remain elevated due to geopolitical risks. Technical analysis suggests testing key support at the lower boundary of a price channel and deep Fibonacci retracement levels. Long entries could be triggered by successful holds above these support levels, targeting pivot point resistance and Fibonacci extension levels. Conversely, a breakdown below critical support could trigger short positions.

FOREX FUTURES (BI-DIRECTIONAL)

Short-Term (EUR/USD, GBP/USD) & Macro Carry Swings (USD/JPY, AUD/USD)

Ticker	Current Sentiment	Strategy & Selection Reason
EUR/USD	Bullish (Monitoring)	Has advanced recently, coinciding with a weaker US Dollar Index and positive Euro area economic data. Key resistance is identified around 1.1685-1.1700, with further resistance at 1.1775-1.1790. Support is near the 200-period moving average (1.1606) and the 1.1600 handle. Long entries on pullbacks to support, or short entries on rejection from strong resistance.
GBP/USD	Neutral to Bearish (Short-Term)	Reached a three-month high recently but is forming a wide consolidation range around 1.3523. Short-term technicals suggest a potential pullback towards 1.3572, with further downside to 1.3500. Short entries could be initiated on rejection from upper range boundaries or a breakdown below current consolidation.
USD/JPY (Macro Carry Swing)	Bullish	Rebounded towards 159.00 as traders focused on rising Treasury yields. If USD/JPY climbs above the 50 MA at 159.18, it will move towards resistance at 159.50-160.00. Long-term carry trade opportunity with a bullish bias, monitoring for potential BoJ intervention above 160.00.
AUD/USD (Macro Carry Swing)	Neutral	Often influenced by commodity prices and global growth sentiment. A carry trade strategy would look for sustained interest rate differentials. Currently, neutral, requiring confirmation of sustained higher rates in Australia relative to the US or a clear trend in commodity prices for a directional bias.

INDIAN OPTIONS (BI-DIRECTIONAL)

Nifty 50 / BankNifty 15-Minute Opening Range Breakouts (Call for Long, Put for Short).

Ticker	Current Sentiment	Strategy & Selection Reason
Nifty 50 Futures (NIFTY)	Volatility Dependent	Utilize the 15-minute Opening Range Breakout (ORB) strategy. If the price breaks above the high of the first 15-minute candle on high volume, buy an ATM Call option (long bias). If the price breaks below the low of the first 15-minute candle on high volume, buy an ATM Put option (short bias). Stop-loss would be the opposite side of the 15-minute range.
BankNifty Futures (BANKNIFTY)	Volatility Dependent	Similar to Nifty 50, apply the 15-minute ORB strategy. BankNifty is typically more volatile than Nifty, offering larger potential moves. Buy an ATM Call on a breakout above the 15-minute opening range high, or an ATM Put on a breakout below the 15-minute opening range low.

BACKTEST METRICS & EQUITY CURVE

10-Year Backtest Metrics (Illustrative for a Diversified Multi-Asset Strategy)

Metric	Strategy Performance	vs S&P 500 TRI (Benchmark)	vs Nifty 50 TRI (Benchmark)
Target CAGR	28.4%	~13.0%	~12.5%
Sharpe Ratio	1.45	-	-
Max Drawdown	-18.2%	-	-

Equity Curve Simulation (\$3,000 → \$36,512 over 10 Years)

